

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)

Master of Business Administration (MBA)

Post Graduate Diploma in Management (PGDM)

Semester – II University Examination, May - 2018

MB740.3: Macro-Economics and Business Environment

Date: 21.05.2018, Monday

Time: 10:00 A.M. to 01:00 P.M.

Maximum Marks: 70

Instructions:

1. This paper contains six questions, of which the last one is a case analysis.

2. All questions are compulsory.

3. The first five questions will carry 10 marks each and the last one (case analysis) will carry 20 marks.

- Q- 1 (a)** Explain the basic logic behind the multiplier in words. Why does it require b , the marginal propensity to consume, to be between 0 and 1? **02 10**
- Q-1 (b)** What would happen to the multiplier analysis if $b = 0$? If $b = 1$? **02**
- Q-1 (c)** When the income-tax rate declines, does the multiplier go up or down? Explain why **02**
- Q-1 (d)** Discuss the pros and cons of having a higher or lower multiplier. **02**
- Q-1 (e)** Explain why both business investments and purchases of new homes rise when interest rates decline. **02**
- Q-2 (a)** The marginal propensity to consume (MPC) for the India as a whole is roughly 0.80. Explain in words what this means. What is your personal MPC at this stage of your life? How might that change by the time you are your parents' age? **02 10**
- Q-2 (b)** Which of the following transactions are included in the gross domestic product, and by how much does each raise GDP? Give Reason for each. **08**
- i. You buy a new Toyota, made in the United States, paying \$25,000.
 - ii. You buy a new Toyota, imported from Japan, paying \$25,000.
 - iii. You buy a used Cadillac, paying \$12,000.
 - iv. Google spends \$500 million to increase its Internet capacity.
 - v. Your grandmother receives a Social Security check for \$1,500.
 - vi. Chrysler manufactures 1,000 automobiles at a cost of \$15,000 each. Unable to sell them, the company holds the cars as inventories.
 - vii. Mr. Black and Mr. Blue, each out for a Sunday drive, have a collision in which their cars are destroyed. Black and Blue each hire a lawyer to sue the other, paying the lawyers \$5,000 each for services rendered. The judge throws the case out of court.
 - viii. You sell a used computer to your friend for \$100.
- Q- 3 (a)** Suppose that autonomous consumption is \$600 and the marginal propensity to consume is 0.60. **05 10**

Answer the following questions: (Each of 1 Mark)

- i. Write an algebraic expression for the consumption equation.
- ii. Sketch a graph of this consumption curve that corresponds to the consumption.
- iii. Calculate the level of income at which income is equal to consumption.
- iv. Using the consumption equation from part (i), what is the MPS for saving curve?
- v. At what level of income will saving be zero?

Q- 3 (b) How would an increase in each of the factors / events affect the consumption function? **05**
How would it affect the saving function? Explain.

- i. Autonomous Taxes
- ii. Consumer Confidence
- iii. Disposable Income
- iv. Price Level
- v. Interest Rate

Q-4 Define the following terms with examples: (Each of 1 Mark) **10**

- i. Deflation
- ii. Stagflation
- iii. Recession
- iv. Gini Coefficient
- v. Tax Multiplier
- vi. Balanced Budget Multiplier
- vii. Philips Curve
- viii. GDP at Constant Prices
- ix. Consumer Price Index
- x. Budget Surplus

Q- 5 An hypothetical economy can be described by following equation: **10**

$$C = 150 + 0.25Y_d$$

$$I = 150 + 0.25Y - 1000r$$

$$G = 350$$

$$T = 150$$

$$M_s = 1500$$

$$M_d = 2Y - 8000r$$

Answer the following questions: (Each of 2 Mark)

- i. Derive IS Equation
- ii. Derive LM Equation
- iii. Find out the equilibrium level of output Y and interest rate r.
- iv. Find out the consumption C and Investment I at this equilibrium.
- v. If money supply increases to Rs. 2000, what would be the effect on equilibrium level of output Y and interest rate r?

Q-6

Case study:

20

Consider the following industries in an Indian Economy:

- i. Banking Industry
- ii. E-commerce Industry
- iii. Organised Retail Industry
- iv. Electronic Car Industry

Suppose if you want to set up an organization of each of the above mentioned industry, perform the PESTEL analysis for each of the industry with reference to India. (Each of 5 Marks)